Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Sc DEGREE EXAMINATION APRIL 2021

ACMT301S - ACCOUNTING FOR BUSINESS

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is a trail balance?
2. State the generally accepted accounting conventions.
3. Write short note on "Trading account".
4. What is gross profit?
5. What are financial statements?
6. Explain the meaning of ratio analysis in brief.
7. Define cost sheet.
8. What is key factor?
9. Write short note on "Master budget".
10. Define budget.

SECTION - B (5X5=25)

Answer any **FIVE** Questions

11. Following are the ledger balances of Sri Rao. You are asked to prepare trial balance as on 31-12-2000.

Particulars	Rs.	Particulars	Rs.
Opening stock	10,000	Capital	60,000
Salaries	5,000	Creditors	10,000
Bills payable	5,000	Loan from Krishna	25,000
Cash in hand	12,000	Discount allowed	700
Bank overdraft	4,000	Accrued interest payable	5,000
Debtors	15,000	Purchases	30,000
Cash at bank	18,000	Reserve for bad debts	1,200
Sales	80,000	Trade expenses	500
Wages	1,000	Outstanding salaries	2,000
Prepaid insurance	2,500	Plant & Machineries	90,000
Depreciation on plant	8,000	Outstanding interest on overdraft	500

12. Prepare trading account of Archana for the year ending 31-12-2006 form the following information: Opening stock-Rs. 80,000; Purchases-Rs. 8,60,000; Frieght inward-

Rs. 52,000; Wages-Rs. 24,000; Sales-Rs. 14,40,000; Purchase return-Rs. 10,000; Sales return-Rs. 3,16,000; Closing stock-Rs.1,00,000; Import duty-Rs.30,000.

13. What are the different tools and techniques used in financial statement analysis?

14. During the year 2008, X Ltd., produced 50,000 units of a product. The following were expenses: Stock of raw materials on 1-1-2008 Rs. 10,000; Stock of raw materials on 31-12-2008 Rs. 20,000; Purchases Rs. 1,60,000; Direct wages Rs. 75,000; Direct expenses Rs. 25,000; Factory expenses Rs. 37,500; Office expenses 62,500; Selling expenses Rs. 25,000.You are required to prepare a cost sheet showing cost per unit and total cost at each stage.

15. From the following details find out (a) Profit volume ratio (b) Break-even sales and (c) Margin of safety.
Sales Rs. 1,00,000; Total cost Rs. 80,000;
Fixed cost Rs. 20,000;Net profit Rs. 20,000

16. You are required to prepare a production budget for the year ending Dec. 2002 from the following information:

Product	Budgeted Sales (Units)	Opening stock on 1-1-2002 (Units)	Closing stock on 31-12-2002(Units)
S	20,000	4,000	5,000
T	50,000	6,000	10,000

17. List out the various advantages of budgetary control.

SECTION - C (3X10=30)

Answer any **THREE** Questions

18. Briefly describe the various branches of accounting.

19. From the following Trial balance, prepare trading, profit and loss account for the year ended 31-12-2001 and a balance sheet as on that date.

Trial Balance

Particulars	**Rs.**	**Particulars**	**Rs.**
Purchases	11,870	Capital	8,000
Debtors	7,580	Bad debts recovered	250
Return inwards	450	Creditors	1,250
Bank deposit	2,750	Return outwards	350
Rent	360	Bank overdraft	1,570
Salaries	850	Sales	14,690
Travelling expenses	300	Bills payable	1,350
Cash	210		
Stock	2,450		
Discount allowed	40		
Drawings	600		
	27460		27,460

Adjustments: (a) The closing stock on 31-12-2001 was Rs. 4,200; (b) Write off Rs. 80 as bad debts and creates a reserve for bad debts at 5% on sundry debtors; (c) Three months' rent is outstanding.

20. Following is the balance sheet of Shankar Ltd., as on 31-12-2000. You are required to calculate (a) Current ratio (b) Liquid ratio (c) Inventory turnover ratio (d) Average collection period and (d) Debt equity ratio

Liabilities	Rs.	Assets	Rs.
Share capital	60,000	Fixed assets	1,30,000
Reserves	40,000	Stock	30,000
6% Debentures	70,000	Debtors	20,000
Creditors	14,000	Bills receivable	15,000
Bills payable	6,000	Cash in hand	5,000
Bank overdraft	10,000		
	2,00,000		2,00,000

Other information: (a) Net sales Rs. 3,00,000; (b) Cost of goods sold Rs. 2,50,000 (c) Opening stock Rs. 20,000 and (d) Number of working days 360 days

21. Assuming that the cost structure and selling prices remain the same in periods I and II find out: (a) P/V Ratio (b) B.E. Sales (c) Profit when sales are Rs. 1,00,000 (d) Sales required to earn a profit of Rs. 20,000 and (e)Margin of safety in IInd period

Period	Sales (Rs.)	Profit (Rs.)
I	1,20,000	9,000
II	1,40,000	13,000

22. Prepare a flexible budget for overhead expenses on the basis of the following data. Ascertain the overhead rates at 50%, 60% and 70% plant capacity.

Particulars	At 50% Capacity	At 60% Capacity	At 70% Capacity
Variable overheads:			
Indirect material	---	6,000	---
Indirect labour	---	18,000	---
Semi-variable overheads:			
Electricity (30% fixed & 70% variable)	---	30,000	---
Repairs (60% fixed & 40% variable)	---	3,000	---
Fixed overhead:			
Depreciation	---	16,500	---
Insurance	---	4,500	---
Salaries	---	15,000	---
Total overheads	---	**93,000**	---
Estimated direct labour hours	---	1,86,000 Hours	---

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